U.S. Software

rAImo's AI Newsletter #108: The AI Math For The Death Of SaaS Has Issues In Real Life

We get the current negative software sentiment. However, what is weird is that many end users of SaaS systems, especially of the larger platform offerings, somehow don't seem to share this gloomy outlook. Within, we show their math which should help investors as well to put things into perspective.

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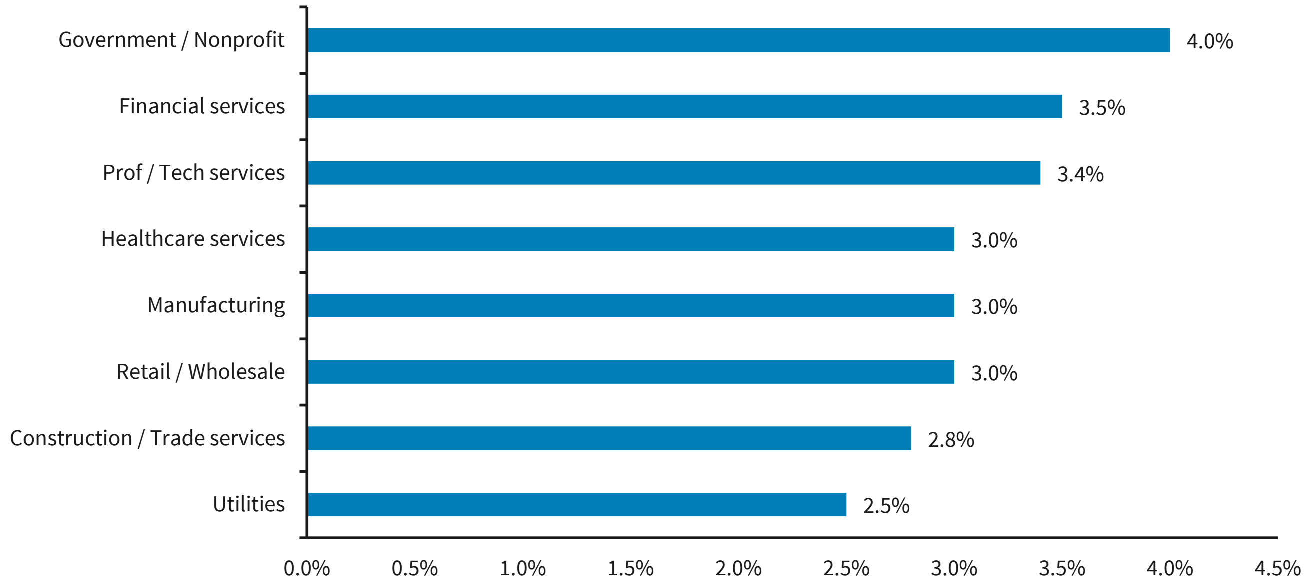
The debate about the death of software is back in full swing after last week's initial Q1 earnings, namely from ServiceNow. We get it, we are in very uncertain times, and the new AI capabilities around agentic and vibe coding do sound exciting.

To ground us in our research work, we often have calls with real world practitioners to make sure we are not living in a bubble. What is interesting is that their view is a lot more nuanced compared to the "simple" investors view of the times ahead. Below we describe their thinking. This should help investors to better level-set the AI and SaaS debate.

For a start, we need to remind ourselves that SaaS companies are often paid out of a company's IT budget. To get to proper numbers, here we looked at the average IT spending as a percent of revenue for several industries (in case investors want to do their own math) and at IT spending as a percentage of revenue over time. See the next two graphs.

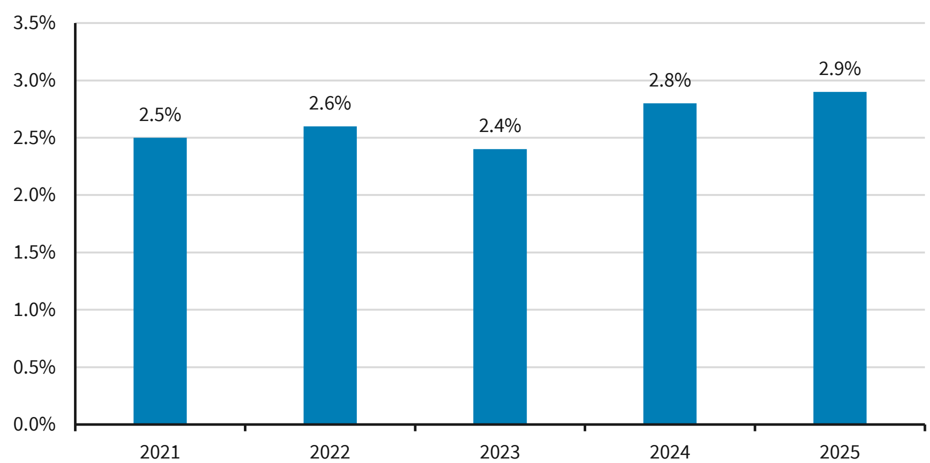
FIGURE 1. IT Budgets Across Sectors in 2025



Source: Avasant Research

We can see in these two graphs that IT spending is a small but not meaningless part of a company's overall cost base. We can also see that some sectors like Financial Services are more "tech heavy" than others, which makes sense.

FIGURE 2. Average IT Spending as a Percentage of Revenue For All Sectors



Source: Avasant Research

With this knowledge, we can go one step further and can see what a typical (average) S&P company pays for IT. The table below shows the math, and we are using the median as large revenue players like Apple (covered by Tim Long) would skew the picture. The median annual revenue of an S&P 500 company is around $15bn. The corresponding OpEx is around $3bn. Using the IT spending percentages from the graph above gets us to a typical IT budget around the $0.5bn range. However, we also know that large banks sit easily above the $1bn range.

FIGURE 3. Summary of Average (Median) S&P 500 Revenue and OpEx and Calculated Median IT Spending

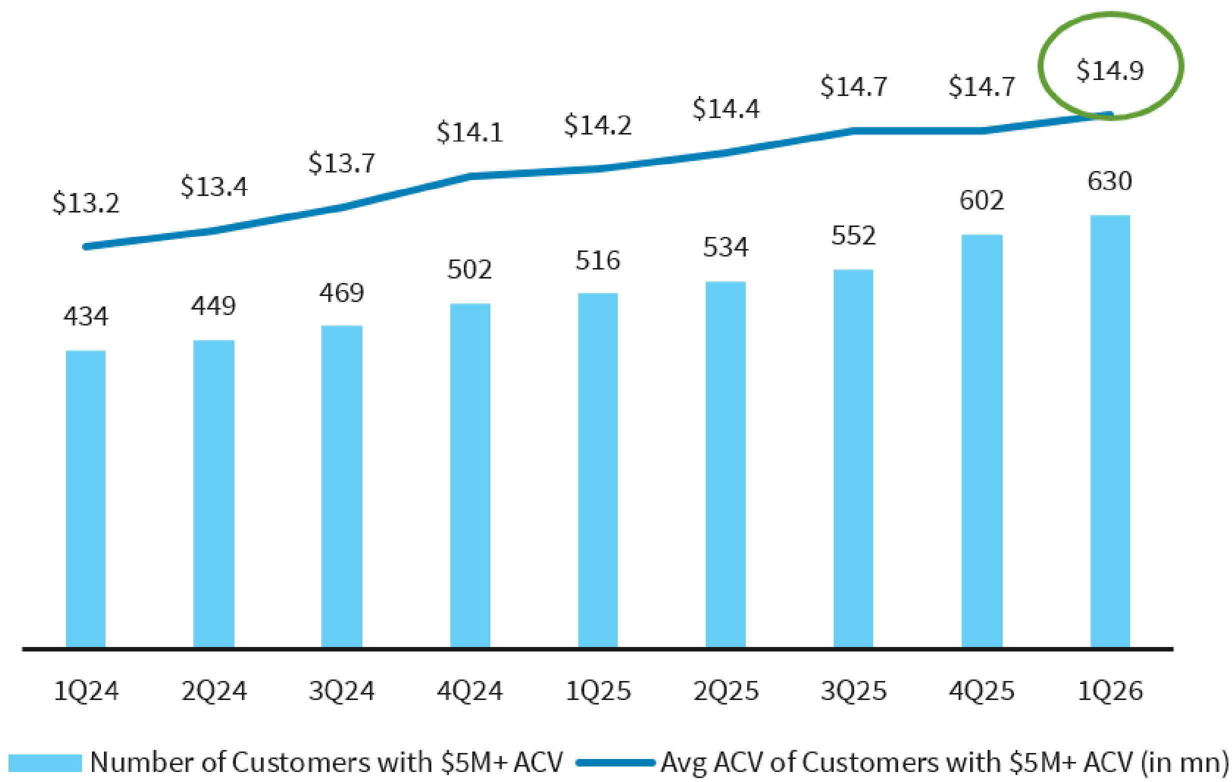
Median Revenue for S&P 500	$14.67bn
Median Operating Expenses for S&P 500	$3.17bn
Average IT Spending as a Percentage of Revenue	*2.9%*
Calculated Median IT Spending	$430mn

Source: Avasant Research, Bloomberg, Barclays Research

This is clearly a fair amount of money that is being spent each year for software (usually about 20% of a typical IT budget), but also hardware (20%) and people (50%). The reason why SaaS end users have less enthusiasm for this whole AI is killing SaaS theme is that the math is actually working really well for them. For a little more payment to the SaaS players, they are saving on hardware and people (the biggest budget item) as the SaaS players provide a "service", and hence need to handle all the IT themselves.

However, there is another, even stronger argument. We show this on the example of ServiceNow. The graph below shows ServiceNow's top customer stats. It has over 600 customers who are spending over $5m in ACV with the company, and the average (not median) spend is around $15m per year. In other words, about 3% ($14.9m NOW spending divided by the $430m IT budget [we assume the 630 customers are of the average S&P 500 size or bigger]) of a company's IT budget is being used to run the whole IT function (NOW's predominant role in the enterprise), and some add on functions in HR and customer support. Compared to the overall spending of a company (both for IT and overall OpEx), that is actually a tiny number. This is also where the push back for many of our industry checks starts. The argument goes like this: "Why would I create 6-12 months of disruption to my organization, potentially risking the company (in case things go wrong), to only save a single digit million dollar amount (as the new AI solution will also cost money) - the math just does not make sense ...".

FIGURE 4. ServiceNow's Growth in $5M+ ACV Customers and there ACV level (in $mn)



Source: ServiceNow, Barclays Research

The same math is true for the other SaaS platforms as well. We suspect customers are likely paying more for SAP (but much larger disruption potential in case a swap to a new vendor goes wrong) and Salesforce (risk of change is also high as revenue numbers are being touched).

Other Relevant AI News/Resources

The next phase of the Microsoft-OpenAI partnership (Microsoft, 4/27/26). "Today, we are announcing an amended agreement to simplify our partnership and the way we work together, grounded in flexibility, certainty and a focus on delivering the benefits of AI broadly. The agreement spells out: Microsoft remains OpenAI's primary cloud partner, and OpenAI products will ship first on Azure, unless Microsoft cannot and chooses not to support the necessary capabilities. OpenAI can now serve all its products to customers across any cloud provider. Microsoft will continue to have a license to OpenAI IP for models and products through 2032. Microsoft's license will now be non-exclusive. Microsoft will no longer pay a revenue share to OpenAI. Revenue share payments from OpenAI to Microsoft continue through 2030, independent of OpenAI's technology progress, at the same percentage but subject to a total cap. Microsoft continues to participate directly in OpenAI's growth as a major shareholder."

GitHub Copilot is moving to usage-based billing (GitHub, 4/27/26). "Today, we are announcing that all **GitHub Copilot plans will transition to usage-based billing on June 1, 2026.** Instead of counting premium requests, every Copilot plan will include a monthly allotment of GitHub AI Credits, with the option for paid plans to purchase additional usage. Usage will be calculated based on token consumption, including input, output, and cached tokens, using the listed API rates for each model. This change aligns Copilot pricing with actual usage and is an important step toward a sustainable, reliable Copilot business and experience for all users."

OpenAI releases GPT-5.5 amid a shift to rapid-fire AI updates (Fortune, 4/23/26). "OpenAI on Thursday released its newest AI model, GPT-5.5, to its paid subscribers. The release, coming just six weeks after the company debuted GPT-5.4, is an extremely fast turnaround that underscores how fiercely frontier AI labs are competing for enterprise customers, and how their models are increasingly evolving through continuous, incremental updates. The company also said there are 4 million active Codex users and 9 million paying business users on ChatGPT. ChatGPT also has more than 900 million weekly active users and over 50 million subscribers. It no doubt hopes those figures will undercut a narrative that has been building across social media that OpenAI has lost traction among consumers and has fallen behind its arch-rival Anthropic in the race for enterprise customers.

Microsoft to integrate Anthropic's Mythos into its security development program (Yahoo Tech, 4/22/26) "Microsoft said on Wednesday it plans to embed advanced artificial intelligence models, including Anthropic's Claude Mythos Preview, into its secure coding framework, as the company steps up its cybersecurity capabilities. Incorporating the models into Microsoft's Security Development Lifecycle (SDL) will help identify vulnerabilities and develop fixes faster, early on in the cycle, the Windows maker said in a blog. Mythos, announced on April 7, has found "thousands" of major vulnerabilities in operating systems, web browsers and other software. Its capabilities to code at a high level have given it a potentially unprecedented ability to identify cybersecurity vulnerabilities and devise ways to exploit them, experts said."

China's DeepSeek releases preview of long-awaited V4 model as AI race intensifies (CNBC, 4/24/26). "Chinese artificial intelligence startup DeepSeek on Friday released a preview version of its long-awaited V4 large language model, allowing users to test its new capabilities and features. The release comes more than a year after the Hangzhou-based company introduced its R1 reasoning model, which rocked global tech markets due to its surprising performance and cost efficiency. Similar to DeepSeek's previous model releases, the latest upgrade is open-source, allowing developers to download the code, run it locally and modify it in most cases. The model is available in both a "pro" and a "flash" version, depending on size, with DeepSeek claiming that V4 achieves strong performance against domestic competitors, particularly in agent-based tasks, knowledge processing and inference."

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